

Seminar Quiz 4

The Economy

Sciences Po Paris - Reims

15 minutes. No extra papers. You are free to use calculators.

Exercise 1

1. Draw the demand and MC curves for a **single** firm in a competitive market for rings. Show a hypothetical point at which the firm will trade, no numbers needed. (2 points + 1 point for good labeling)

2. In the same graph (or a copy of it), show what would happen if the price of gold went up. Assume that gold is an input variable for rings. (2 points)

Exercise 2

Consider a monopoly selling phones. For the point where trade happens between the monopolist and the consumers, we know the following:

$$P_{mono} = 200$$

$$Q_{mono} = 50$$

$$MR = 100$$

1. Given this information, calculate the slope of the isoprofit curve at the point where trade happens.
(3 points)

2. Assuming linearity for this firm's demand formula, which of the following statements is true for this market? (2 point)

- A) The demand curve is *elastic* so the DWL is *bigger* than if the demand curve were inelastic.
- B) The demand curve is *inelastic* so the DWL is *bigger* than if the demand curve were elastic.
- C) The demand curve is *elastic* so the DWL is *smaller* than if the demand curve were inelastic.
- D) The demand curve is *inelastic* so the DWL is *smaller* than if the demand curve were elastic.